

Part III – Administrative, Procedural, and Miscellaneous

Domestic Content Bonus Credit Guidance under Sections 45, 45Y, 48, and 48E

Notice 2023-38

SECTION 1. PURPOSE

The Department of the Treasury (Treasury Department) and the Internal Revenue Service (IRS) intend to propose regulations (forthcoming proposed regulations) addressing the application of the rules that taxpayers must satisfy to qualify for the domestic content bonus credit amounts under §§ 45, 45Y, 48, and 48E of the Internal Revenue Code (Code).¹ Public Law 117-169, 136 Stat. 1818 (August 16, 2022), commonly known as the Inflation Reduction Act of 2022 (IRA), amends §§ 45 and 48 to provide a domestic content bonus credit amount for certain qualified facilities or energy projects placed in service after December 31, 2022, and adds new §§ 45Y and 48E, which include a domestic content bonus credit amount for certain investments in qualified facilities or energy storage technologies placed in service after December

¹ Unless otherwise specified, all “section” or “§” references are to sections of the Code or the Income Tax Regulations (26 CFR part 1).

implementation of § 45Y (and therefore § 45Y(g)(11)), including the determination of the amount of § 45Y credits.

.02 Steel, Iron, or Manufactured Products. In general, the Domestic Content Requirement applies to any steel, iron, or Manufactured Product (as defined in section 3.01(2)(c) of this notice) that is a component of an Applicable Project. Sections 45(b)(9)(B)(ii) and 45Y(g)(11)(B)(ii) provide that the Domestic Content Requirement for steel or iron applies in a manner consistent with section 661.5 of title 49, Code of Federal Regulations.

Sections 45(b)(9)(B)(iii) and 45Y(g)(11)(B)(iii) provide that “manufactured products which are components of a qualified facility upon completion of construction shall be deemed to have been produced in the United States if not less than the adjusted percentage . . . of the total costs of all such manufactured products of such facility are attributable to manufactured products (including components) which are mined, produced, or manufactured in the United States” (Adjusted Percentage Rule).

Section 45(b)(9)(C) provides that, for purposes of § 45(b)(9)(B)(iii), the adjusted percentage is 40 percent, or 20 percent in the case of a qualified facility that is an offshore wind facility. Under § 45Y(g)(11)(C) the adjusted percentage increases from 40 percent for qualified facilities the construction of which begins before 2025 to 55 percent for qualified facilities the construction of which begins after 2026, and from 20 percent for a qualified facility that is an offshore wind facility the construction of which begins before 2025 to 55 percent in the case of a qualified facility that is an offshore wind facility the construction of which begins after 2027.

As provided in section 2.01 of this notice, § 48(a)(12)(B) provides that rules